

Barter System

- Direct exchange of goods and services without money.
- Suffers from:
 - Lack of double coincidence of wants
 - Lack of common measure of value
 - Difficulty of deferred payments
 - Difficulty of storing value

Functions of Money

Primary Functions:

- **Medium of Exchange:** Money is commonly accepted for transactions of goods and services.
- **Measure of Value (Common Unit of Value):** Money expresses the value of all goods and services in a common denomination.

Secondary Functions (Derivative Functions):

- **Standard of Deferred Payments:** Money acts as a standard for future payments, facilitating loans and credit.
- **Store of Value (Assets Function of Money):** Money can transfer purchasing power to the future, providing security and facilitating savings.

Money Supply

- **Stock Concept:** Refers to the total stock of money held by the public at a particular point in time.
- **Does NOT include:**
 - Stock of money held by the government.
 - Stock of money held by the banking system (as they are suppliers of money).
- **Includes:** Money held by individuals and business firms.

Components of Money Supply (M1)

$$M_1 = CC + DD + OD \text{ with RBI}$$

- **CC (Currency in Cash):** Paper notes and coins held by the public.
- **DD (Demand Deposits):** Net demand deposits of the public with commercial banks (can be withdrawn by cheque). Excludes inter-bank deposits.
- **OD (Other Deposits with RBI):**
 - Deposits held by RBI on behalf of foreign banks and foreign governments.
 - Demand deposits of international financial institutions (e.g., IMF, World Bank).
 - Demand deposits of financial institutions (e.g., NABARD).
- M_1 is also known as **Transaction Money** and is the **Most Liquid** measure of money supply.
- **Does NOT include:**
 - Deposits of the Indian government with RBI.
 - Deposits of commercial banks with RBI.

Commercial Banks

- Financial institutions that carry out operations related to deposit and withdrawal of money for the public.
- Provide loans for consumption, investment, etc.
- Profit-making institutions.

Credit Creation by Commercial Banks

- Commercial banks create credit in the form of demand deposits, contributing to money supply.
- **Process:** Based on Legal Reserve Ratio (LRR). Banks keep a fraction of deposits as reserves and lend out the rest. The lent money eventually returns to the banking system as deposits, leading to a multiplier effect.

• Deposit Multiplier (or Money Multiplier):

$$\text{Money Multiplier} = \frac{1}{\text{LRR}}$$

- Example: If LRR is 10% and initial deposit is ₹1000, total deposits created will be $\text{₹}1000 \times \frac{1}{0.10} = \text{₹}10,000$.

Central Bank

- Apex bank that controls the entire banking system of a country.
- Sole agency of note issuing. (e.g., RBI in India, Bank of England, Federal Reserve System in USA).
- RBI was established on April 1, 1935, under the RBI Act of 1934.

Functions of Central Bank

1. **Issuing Authority of Currency Notes:** Exclusive right to issue currency notes (except one rupee coin and notes issued by Ministry of Finance).
2. **Banker to the Government:**
 - Manages government accounts.
 - Buys and sells securities on behalf of the government.
 - Advises on economic, financial, and monetary matters.
 - Provides loans to the government (deficit financing).
3. **Banker's Bank and Supervisory Bank:**
 - Holds deposits of commercial banks and offers them loans.
 - **Repo Rate:** Rate at which Central Bank lends to commercial banks.
 - **Reverse Repo Rate:** Rate at which commercial banks park surplus funds with RBI.
 - Regulates and controls commercial banks (e.g., licensing, ensuring CRR & SLR compliance).
4. **Lender of the Last Resort:** Provides financial assistance to commercial banks during crises.
5. **Custodian of Foreign Exchange Reserves:**
 - Maintains foreign exchange reserves.

- Exercises managed floating to stabilize exchange rates.
6. **Clearing House Function:** Facilitates settlement of mutual claims between commercial banks by transferring funds.
 7. **Control of Credit (Monetary Policy):**
 - Manages money supply in the economy by regulating credit creation by commercial banks.
 - Aims to cope with inflation (restricts money supply) and deflation (liberalizes money supply).

Credit Control by Central Bank (Monetary Policy)

- **Quantitative Measures:** Affect the overall volume of credit in the economy.
 - **Bank Rate:** The rate at which the central bank lends money to commercial banks without collateral.
 - **Repo Rate:** The rate at which the central bank lends money to commercial banks against government securities.
 - **Reverse Repo Rate:** The rate at which the central bank borrows money from commercial banks.
 - **Cash Reserve Ratio (CRR):** The percentage of a bank's net demand and time liabilities that it must hold as reserves with the central bank.
 - **Statutory Liquidity Ratio (SLR):** The percentage of a bank's net demand and time liabilities that it must maintain in liquid assets (cash, gold, approved securities).
 - **Open Market Operations (OMO):** Buying and selling of government securities by the central bank in the open market to control money supply.
- **Qualitative Measures (Selective Credit Controls):** Affect the direction or flow of credit to particular sectors.
 - **Margin Requirements:** The difference between the loan amount and the market value of the security offered by the borrower.
 - **Moral Suasion:** Persuading commercial banks to follow the central bank's directives.
 - **Selective Credit Control:** Directing banks not to lend for certain purposes or to certain sectors.